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VANGUARD

2024 Third Quarter Results

Investor Conference

November 5, 2024

Agenda

- Welcome
- 3Q24 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

3Q24 Result Highlights

Amount : NT$ Million	3Q24	2Q24	3Q23
	Amount	Amount	Amount
Net Revenue	11,804	11,065	10,557
Net Income Attributable to Shareholders of the Parent Company	2,129	1,798	1,623
EPS (NT$)	1.29	1.09	0.98
Cash and Financial Instruments	43,901	49,464	33,986
Equity	48,452	42,144	43,989
Total Wafers Shipped (Kpcs)	613	558	538

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	3Q24		2Q24		3Q23		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	11,804	100.0	11,065	100.0	10,557	100.0	6.7	11.8
Cost of Revenue	(8,377)	(71.0)	(8,187)	(74.0)	(7,757)	(73.5)	2.3	8.0
Gross Profit	3,427	29.0	2,878	26.0	2,800	26.5	19.1	22.4
Operating Expenses	(1,198)	(10.1)	(1,155)	(10.4)	(1,135)	(10.8)	3.7	5.5
Operating Income	2,229	18.9	1,724	15.6	1,665	15.8	29.3	33.9
Net Non-operating Income	449	3.8	422	3.8	376	3.6	6.4	19.5
Income before Income Tax	2,679	22.7	2,146	19.4	2,041	19.3	24.8	31.2
Net Income	2,133	18.1	1,798	16.3	1,623	15.4	18.6	31.4
Net Income Attributable to:								
Shareholders of the Parent	2,129	18.0	1,798	16.3	1,623	15.4	18.4	31.2
Non-controlling Interests	4	0.0	0	0.0	0	0.0	-	-
	2,133	18.1	1,798	16.3	1,623	15.4		
Diluted EPS (NT$)	1.29		1.09		0.98		18.3	31.6

Balance Sheets & Key Indices

Amount : NT$ Million

Selected Items from Balance Sheets	Sep. 30, 2024		Jun. 30, 2024		Sep. 30, 2023	
	Amount	%	Amount	%	Amount	%
Total Assets	**112,215**	**100.0**	**109,291**	**100.0**	**101,565**	**100.0**
Cash & Financial Instruments	43,901	39.1	49,464	45.3	33,986	33.5
Accounts Receivable	6,608	5.9	6,653	6.1	6,862	6.8
Inventories	5,787	5.2	5,596	5.1	6,394	6.3
Total Current Assets	**58,836**	**52.4**	**63,364**	**58.0**	**47,944**	**47.2**
Property, Plant and Equipment	**40,487**	**36.1**	**33,650**	**30.8**	**37,763**	**37.2**
Short-term Loans	949	0.8	0	0.0	0	0.0
Notes and Accounts Payable	1,374	1.2	1,554	1.4	1,099	1.1
Cash Dividends Payable	0	0.0	7,375	6.7	0	0.0
Accrued Liabilities and Others	17,824	15.9	19,051	17.4	18,599	18.3
Total Current Liabilities	**20,147**	**18.0**	**27,980**	**25.6**	**19,698**	**19.4**
Equity Attributable to Shareholders of the Parent	44,012	39.2	42,144	38.6	43,989	43.3
Non - controlling interests	4,440	4.0	0	0.0	0	0.0
Total Non-current Liabilities	**43,616**	**38.9**	**39,167**	**35.8**	**37,877**	**37.3**
Total Equity	**48,452**	**43.2**	**42,144**	**38.6**	**43,989**	**43.3**

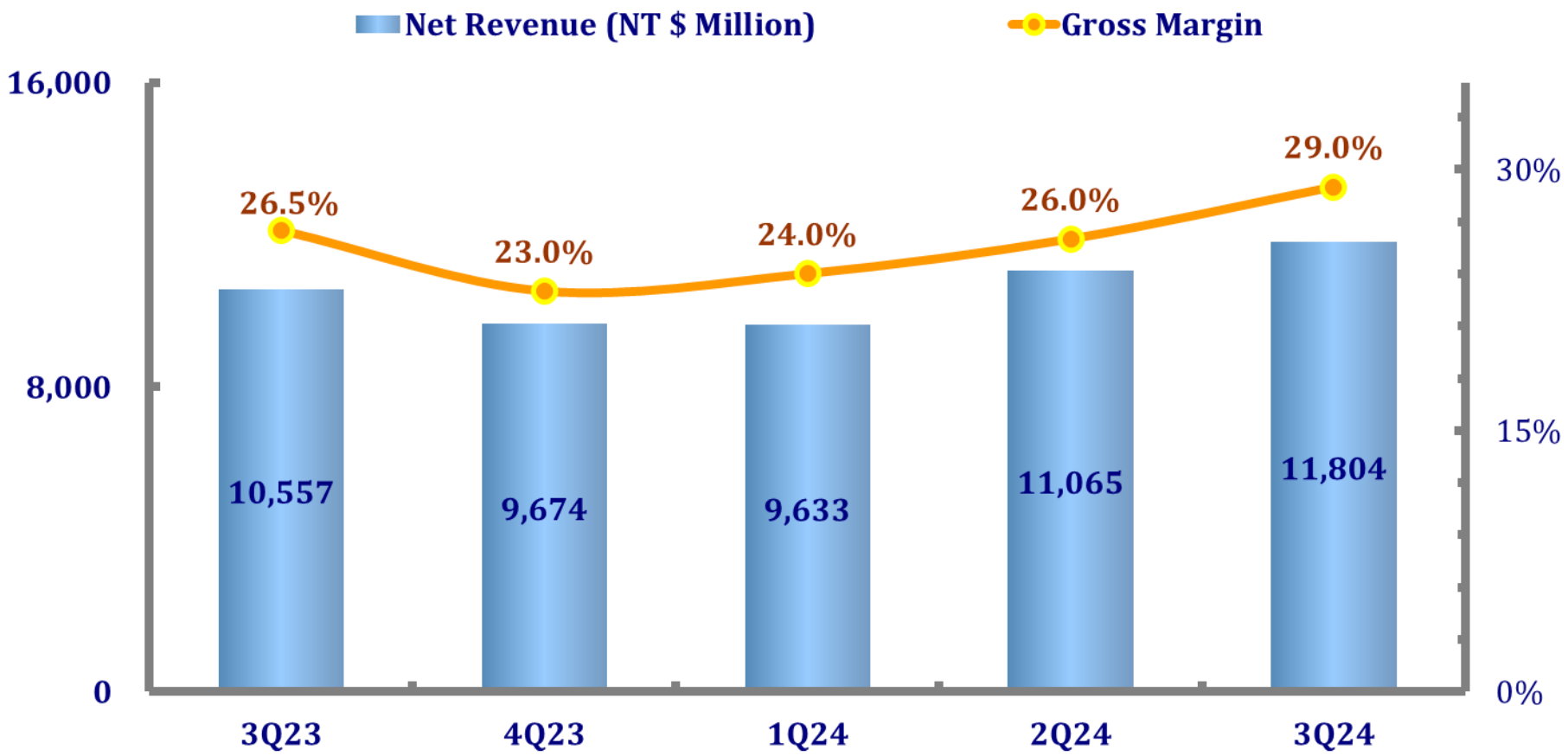
Key Indices			
A/R Turnover Days	**51**	**54**	**57**
Inventory Turnover Days	**66**	**66**	**82**
Debt Ratio	**57%**	**61%**	**57%**
Current Ratio	**292%**	**226%**	**243%**
Net Working Capital	**38,689**	**35,384**	**28,246**

Cash Flows

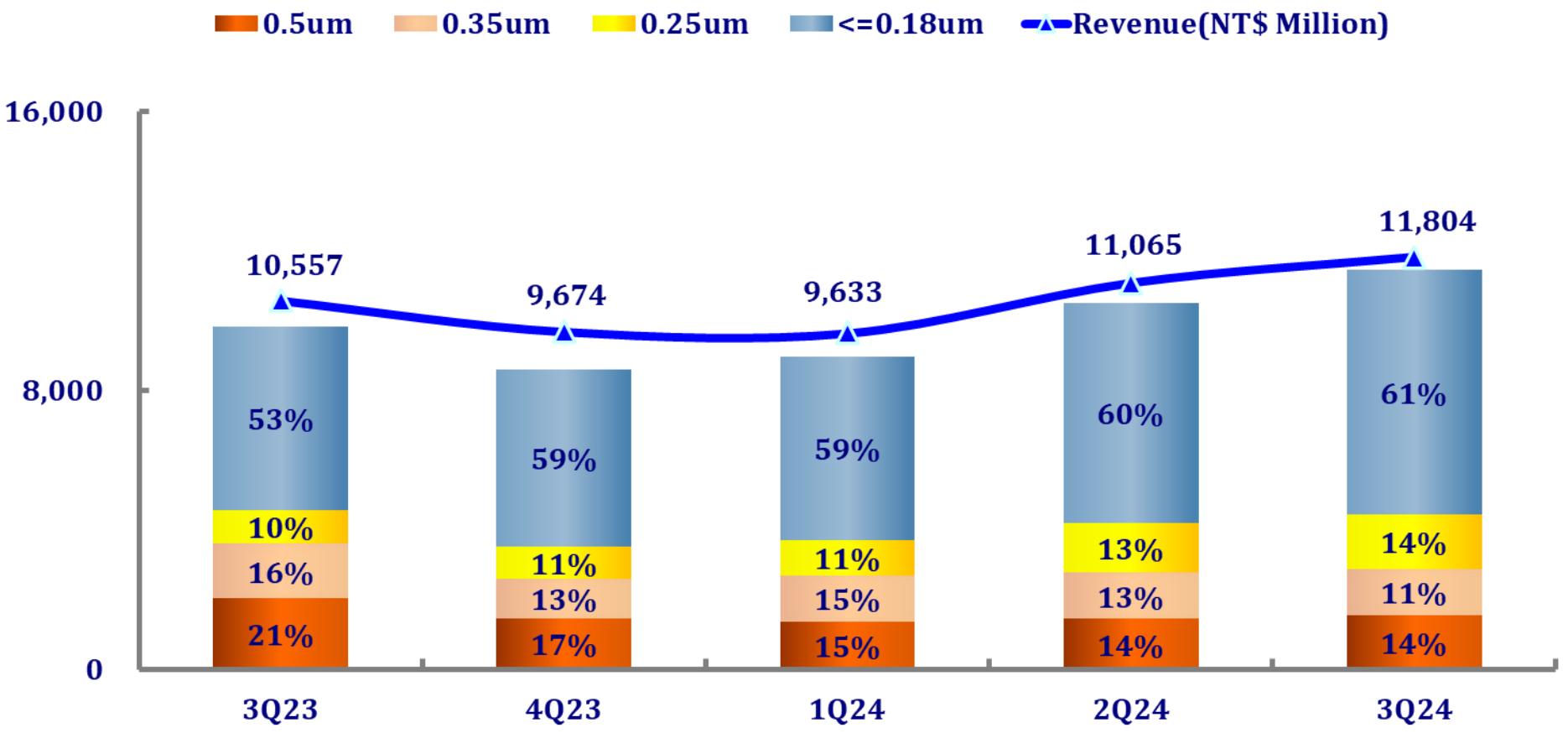
Amount : NT$ Million Selected Items from Cash Flows	3Q24 Amount	2Q24 Amount	3Q23 Amount
Cash - Beginning of Period	***41,155***	***38,209***	***26,876***
– Income before Income Tax	2,679	2,146	2,041
– Depreciation & Amort.	2,165	2,111	2,055
– Changes of Notes and Accounts Receivable	(236)	(1,307)	(723)
– Changes of Inventories	(191)	381	(40)
– Contract liabilities from LTA	6,965	944	87
– Income Taxes Paid	(951)	(1,639)	(26)
– Changes of Notes and Accounts Payable/ Others	(3,870)	(774)	(1,849)
From Operation	**6,561**	**1,863**	**1,546**
– Decrease in Financial Assets	3,024	1,809	230
– Acquisitions of PP&E and Intangible Assets	(8,872)	(520)	(1,452)
– Acquisitions of Right-of-use Assets	(2)	0	0
– Acquisitions of L-T Stock Investments	(2,480)	0	0
– Dividends Received	0	35	0
– Refundable Deposit and Others	(2)	(150)	24
From Investment	**(8,331)**	**1,174**	**(1,198)**
– Increase in Short-term Loans	961	0	0
– Issuance of Bonds	0	0	6,000
– (Decrease) Increase in Guarantee Deposits Received from Customers	(91)	(91)	12
– Cash Dividends	(7,375)	0	(7,375)
– Decrease in Lease Liabilities	(66)	(54)	(52)
– Changes in Non-Controlling Interests	4,474	0	0
– Others	0	0	(41)
From Financing	**(2,097)**	**(145)**	**(1,457)**
Net (Decrease) Increase in Cash	**(3,867)**	**2,891**	**(1,108)**
Effect of Exchange Rate Changes	(69)	54	169
Cash - End of Period	***37,218***	***41,155***	***25,937***

Remarks

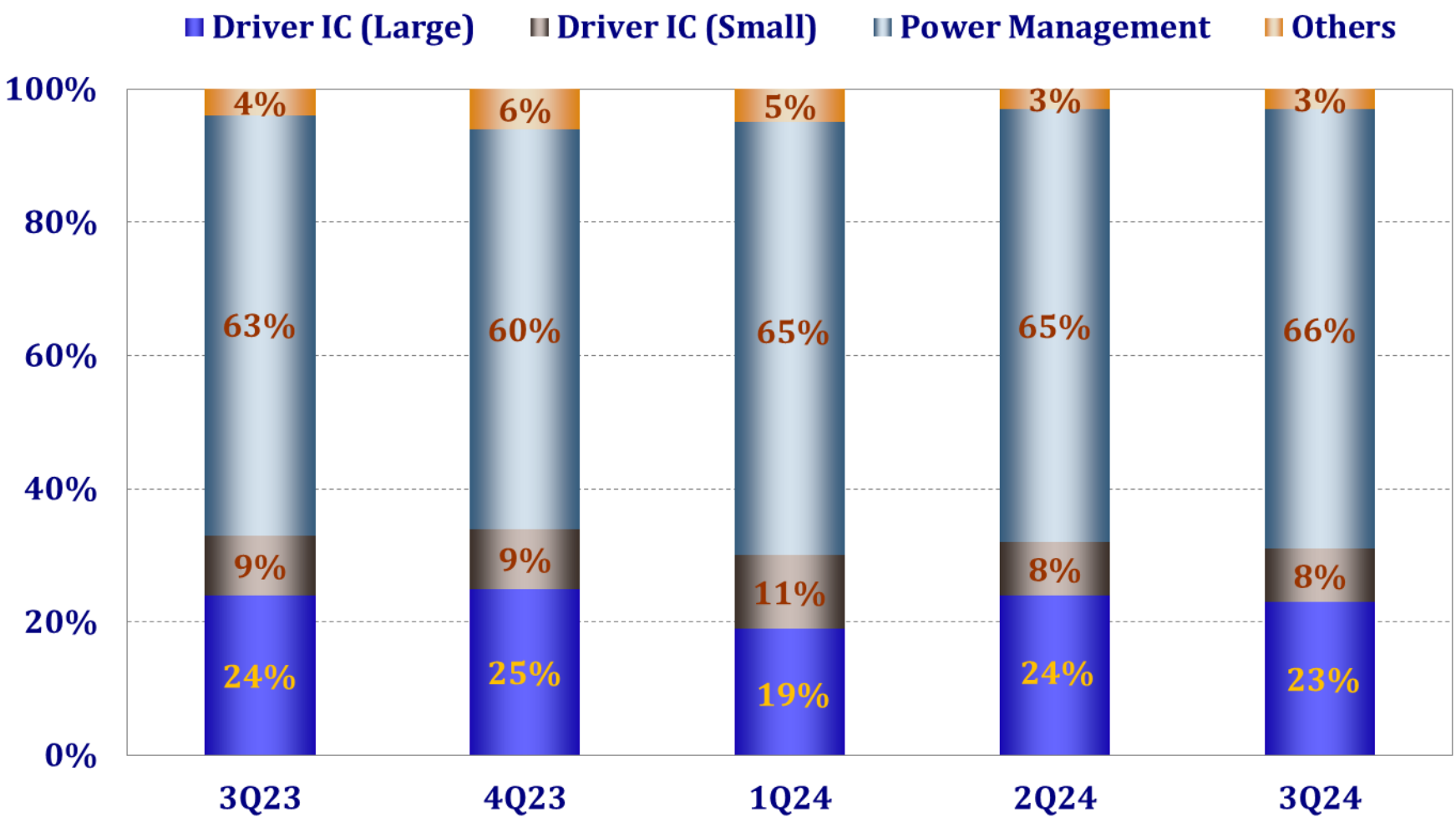
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



3Q24 Result Summary & Guidance Comparison

3Q24	Result	Guidance
Wafer Shipment	+10% QoQ	to increase by 9% to 11% QoQ
Blended ASP	flat QoQ	to decrease by 0% to 2% QoQ
Gross Profit Margin	29.0%	to be between 28% and 30%

4Q24 Guidance

- Wafer shipment to decrease by 10% to 12% QoQ;
- Blended ASP to increase by 3% to 5% QoQ
- Gross profit margin to be between 27% and 29%.

* LTA income (Non wafer revenue) to contribute extra around 3% ~ 4% of revenue.

Q & A

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